

Difference-in-Differences in Accuracy Drop

Compressing the signature to its single number: the high-regime drop is large, the low-regime drop is near noise, and the gap between them is the model-free heart of the result.

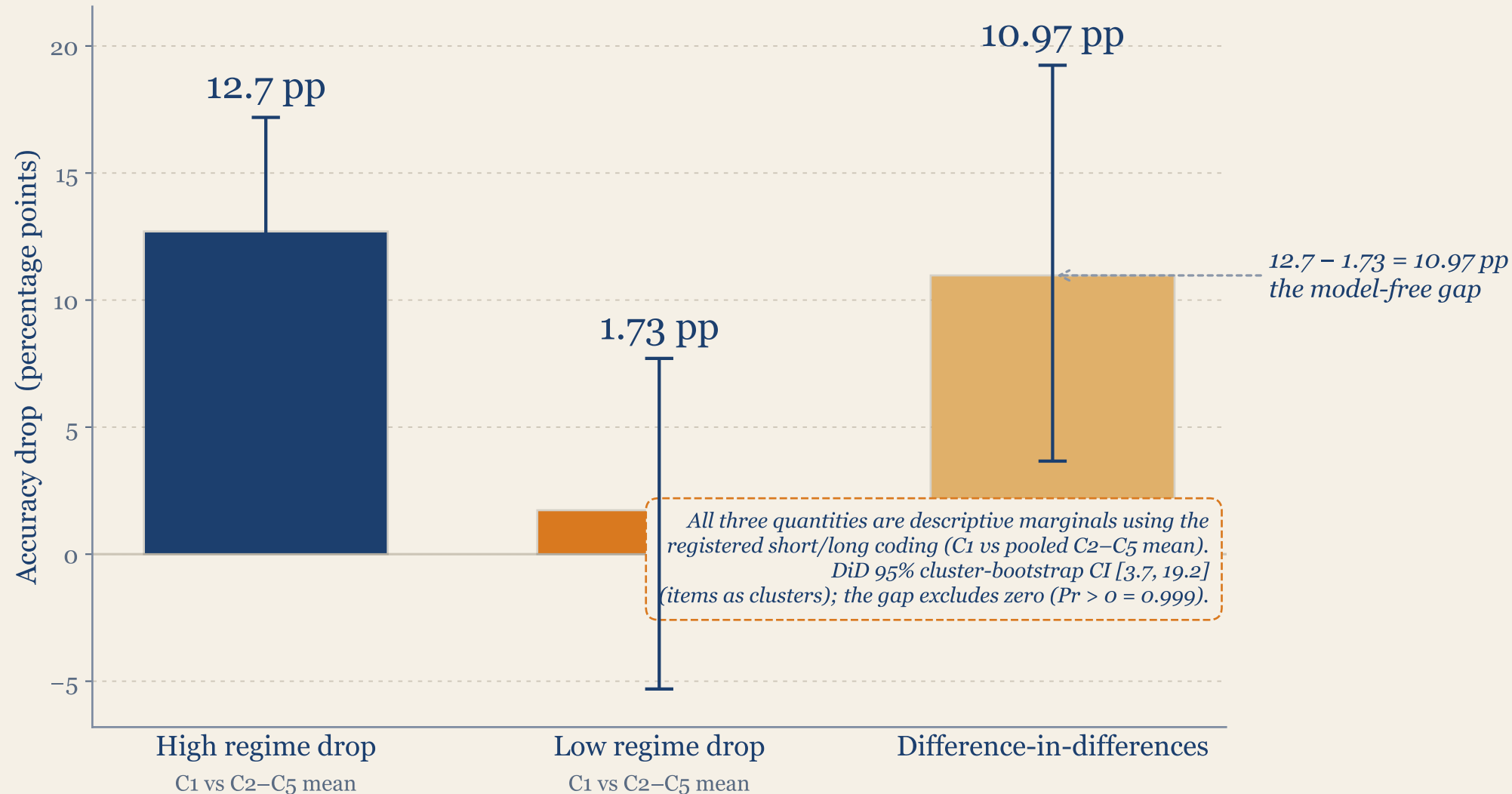


Figure 7.2. Difference-in-differences.